Rocket Lab USA, Inc.

NasdaqCM: RKLB | **$4.30**

Soaring Into Space: Initiating Coverage with Speculative Buy Rating

Initiating Coverage: We initiate coverage of Rocket Lab USA, Inc. ("Rocket Lab" or "the Company") with a Speculative Buy rating and a $5.30 target price, implying a return of 23.3%.

Investment Thesis: Rocket Lab is a leading player in the satellite manufacturing and launch services space. Although, under the shadow of the industry's largest player, SpaceX, Rocket Lab has carved out its own niche. We issue Rocket Lab a speculative buy because of the number of competitive advantages that will allow the company to dominant its current space. Rocket Lab is expected to rapidly scale its launch cadence from 9 launches in 2023 to 22 launches planned for 2024. This should help improve launch margins thanks to the increased scale. Rocket Lab provides end-to-end solutions which means they are able to design, manufacture, launch, and operate satellites on behalf of customers. Rocket Lab has proven itself to be a dependable supplier and launcher in recent years. Many launch providers must prove reliability and capability before securing lucrative government and military contracts. Rocket Lab has earned that trust evidenced by winning the $515mm contract from the SDA, an American defense agency, in December 2023. Aside from its current operations, Rocket Lab has invested into developing its new medium-lift *Neutron* rocket which management expects to take flight this year. When *Neutron* enters service there will be sufficient demand thanks to the proliferation of satellite constellations. Rocket Lab will likely deliver on its commitments in this difficult industry thanks to its experienced management team.

Price Target:	**$5.30**
Rating:	**Speculative Buy**
Projected Upside:	23.3%
Valuation Metrics:	12% Discount Rate 17.0x exit multiple on 2028 FCF

Stock Data *USD Unless Noted*

52-Week High and Low ($)	$8.05-$3.62
Avg. Daily Volume (M)	5.0
Shares outstanding (M)	485.9
Float (%)	59.2%
Short Interest as a % of Float (%)	8.0%
Market Cap. ($M)	2,089
Cash ($M)	141
Net Debt ($M)	(208)
Enterprise Value ($M)	1,881

Financial Metrics '000s USD

	FY2022A	FY2023P	FY2024P	FY2025P	FY2026P
Launch Revenues	60,686	71,932	172,877	310,000	402,000
Space System Revenues	150,310	172,149	255,719	310,972	394,264
Gross Margin	*9%*	*21%*	*27%*	*32%*	*39%*
Adj. EBITDA	(40,113)	(93,339)	(21,433)	56,695	167,788

Valuation Data

	FY2022A	FY2023P	FY2024P	FY2025P	FY2026P
EV/Revenue - Current	8.9x	7.7x	4.4x	3.0x	2.4x
EV/Revenue - Target	11.0x	9.5x	5.4x	3.7x	2.9x
EV/Adj. EBITDA - Current	*nmf*	*nmf*	*nmf*	33.2x	11.2x
EV/Adj. EBITDA - Target	*nmf*	*nmf*	*nmf*	40.9x	13.8x

Quarterly Data '000s USD

		Q1	Q2	Q3	Q4
Successful Launches	FY2023A	3	3	2	1
	FY2024P	4*	6	3	8
Launch Revenues	FY2023P	19,621	22,495	21,316	8,500
	FY2024P	32,929	49,393	24,697	65,858
Space System Revenues	FY2023P	35,274	39,550	46,345	50,980
	FY2024P	67,293	60,564	62,986	64,876
Adj. GM (%)	FY2023P	12%	24%	22%	25%
	FY2024P	26%	27%	27%	28%
Adj. EBITDA	FY2023P	(23,492)	(22,523)	(16,373)	(30,951)
	FY2024P	(6,043)	(6,079)	(1,631)	(7,680)

Company Information

Country of Origin	United States
Company Description	Rocket Lab USA, Inc., a space company, provides launch services and space systems solutions for the space and defense industries.
Year Founded	2006
Year Listed on NasdaqCM	2021

Trading Data:

Source: Western Algo (estimates), Company Filings (historical financials), S&P Capital IQ (trading data)

All values recorded in USD.

Please see final page of report for an important disclaimer.

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Description of Business

Rocket Lab is a manufacturer of satellite parts and a launch service provider for small satellites. The company has its primary manufacturing facility and headquarters in Long Beach, California and has launch pads in Mahia, New Zealand and Wallops Island, Virginia, USA. Rocket Lab can be divided into two segments: Space Systems and Launch Services. The Space Systems segment provides spacecraft components to customers constructing their own satellites or alternatively Rocket Lab can fully construct the satellite themselves as a service and operate the satellite once in orbit. Often, customers who contract Rocket Lab for satellite manufacturing will also procure launches at the same time. The Launch Services segment provides launch capabilities primarily into low earth orbit (~400km in altitude) with their *Electron* rocket for payloads of up to 300kg, classifying the rocket as a small-lift vehicle. Rocket Lab is currently developing its *Neutron* rocket with the first launch scheduled for 2024. The *Neutron* rocket is expected to have a payload capacity of 15,000 kg into low earth orbit (LEO), classifying the rocket as a medium-lift vehicle. Rocket Lab has a wide range of commercial and government customers including the US Department of Defense, NASA, Canon, MDA, and many others.

Rocket Lab is the leading small satellite launcher in the industry. The company was founded in 2006 by its current CEO, Peter Beck, to provide launches at much lower costs to the incumbents. Currently, SpaceX is the largest player in the combined satellite launch industry. SpaceX does launch small satellites through rideshare missions or secondary payloads, however their primary focus is launching larger payloads. As of 2024, Rocket Lab is the most reliable small satellite launcher available on the market. Their status is not uncontested with companies such as Firefly Aerospace, Astra, and Relativity rapidly developing and testing their own launch solutions for small satellites.

Company Analysis

Assets

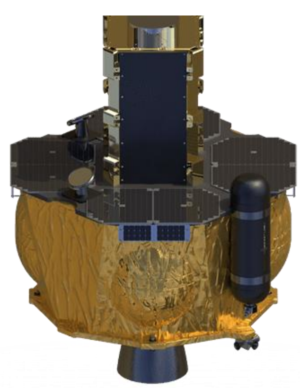
Rocket Lab is headquartered in Long Beach, California after transferring from its old location at Huntington Beach, California back in March 2020. The new 97,000 square foot headquarters houses the administrative, sales and development, launch service mission, and R&D teams. Additionally, the company has production of its proprietary Rutherford engines and is developing *Neutron's* Archimedes engine at the Long Beach facility as well. The lease will expire on June 30, 2027, and Rocket Lab has the option to extend it beyond that date as well.

On the other side of the planet, Rocket Lab has R&D, production, and propulsion test sites at a 100,000 square foot complex of facilities in Auckland, New Zealand. The lease will expire on April 30, 2024, but Rocket Lab has the option to extend to April 30, 2028. Composite manufacturing and launch vehicle integration as well as testing occurs at the Auckland plant due to its proximity to the launch pad in Mahia, New Zealand. The Mahia launch pad can support up to 120 launches annually. The launch pad referred to as LC-1 has two pads which eliminates the need for a full pad recycle after each launch. The lease on the launch pad will expire on November 15, 2029, however Rocket Lab will be able to renew it to at least 2036. The other launch pad is located at Wallops Island, Virginia and is licensed to support up to 12 launches annually. The launch pad has an Integration and Control facility to allow for rapid launch. Reaching capacity at these launch pads is not an immediate concern for Rocket Lab. Space solar cell production occurs in Albuquerque, New Mexico which comes from its acquisition of SolAero Holdings in early 2022.

Space Systems

The Space Systems segment provides flight hardware and manufacturing services for spacecraft. Components from Rocket Lab have already flown on over 1,700 missions proving how ubiquitous and trusted Rocket Lab's components are. The Space Systems segment sells individual spacecraft components which includes reaction wheels, star trackers, radios, solar solutions, and many additional products. While Rocket Lab originally did not provide this type of service, the company entered this business through its acquisition of Sinclair Interplanetary and the subsequent acquisitions of Planetary Systems Corporations, and SolAero Holdings. These acquisitions allowed the company to provide end-to-end solutions as seen by its *Photon* family of spacecraft (Figure 1). Rocket Lab rapidly expanded this segment from $23.3mm of revenue in 2021 to $150.3mm in 2022. After the pre-earnings release of 2023 Q4 results, the segment is expected to bring in $172.1mm for 2023. While the segment has primarily grown through acquisitions, it now represents the largest share of Rocket Lab's revenue (70.5% of total revenue in 2023). This high percent value is due in part to the delay in launches after the anomaly in September 2023. The Space Systems segment is also a less volatile source of revenues than launches.

Figure 1 – *Photon* Satellite Platform



Source: Company Filings

The *Photon* satellite family allows customers to customize on top of a proven platform to achieve their mission requirements. Through *Photon*, Rocket Lab provides end-to-end service from manufacturing to launch to mission support. It has already been utilized for NASA's CAPSTONE mission where it was deployed in a special lunar orbit as a pathfinder for NASA's planned lunar space station, the Lunar Gateway Initiative. Additional missions using *Photon* have also been planned for Mars and Venus.

According to Mordor Intelligence, the global satellite manufacturing industry has a total market size of $244.9bn as of 2023. The industry size includes government and commercial contracts which shows the huge scope the industry plays across the globe. The industry is expected to reach a market size of $389.7bn by 2029 which represents a 9.73% 5-year CAGR. Generally, the market has two groups of customers, one group consists of commercial customers where the payloads are smaller and cost is an important factor. The other group consists of customers who are governments and militaries and procure expensive satellites through multi-billion dollar contracts. These large payload contracts are often awarded to large well-established defense or aerospace companies (Figure 2). Many of these companies have served their respective governments for decades and are deeply woven into the politics and infrastructure possessed by their customers.

Figure 2 – Top Players in Satellite Manufacturing

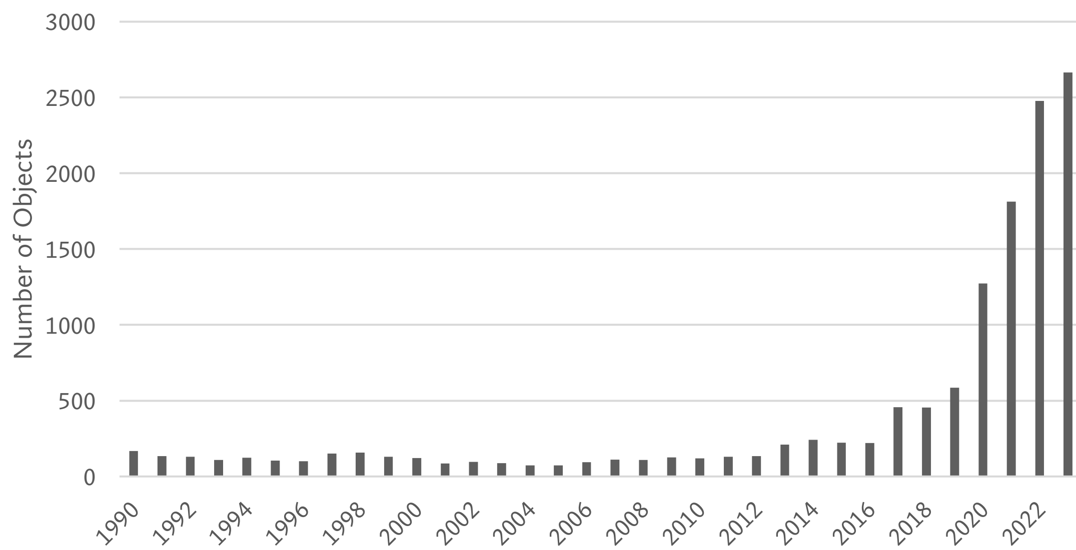
	Lockheed Martin	Airbus	Boeing	Raytheon Technologies	MDA
Market Capitalization	113.2bn	115.3bn	122.9bn	122.3bn	1.34bn
Revenue (TTM)	67.7bn	63.2bn	75.8bn	67.1bn	0.58bn
Location	Bethesda, MD	Blagnac, France	Arlington, Virginia	Arlington, Virginia	Brampton, Ontario

Source: Pitchbook

On the commercial side, the market is far more fragmented and is where Rocket Lab has mainly competed within. Rocket Lab is expanding beyond the small contracts offered by commercial customers and towards government contracts as seen by Rocket Lab winning a $515mm government contract in December 2023. The industry is quite saturated and thus margins can be pushed down despite the hefty prices that the components are sold at which are usually at or above the tens of thousands. Rocket Lab possesses a differentiated advantage within this specific market because they also offer launch services, albeit only for small satellites.

The industry for manufacturing and supplying of components of satellites have rapidly shifted. Previously, only governments and militaries were able to afford and find applications for sending satellites into orbit. However, space has rapidly commercialized as companies look to put up satellites for various purposes such as imagery or communications. This can be observed by looking at the annual mass to orbit in Figure 3. This rapid growth points to huge growth potential that Rocket Lab can capitalize on. In fact, prior to the announcement of the $515mm contract with the SDA, Rocket Lab stated they had a backlog that amounted to $504mm in their Q3'23 report. The backlog arises from contracts that are long dated while Rocket Lab waits for customer payloads to be constructed and any subsequent delays that may be experienced.

Figure 3 – Annual Objects Launched into Space Globally



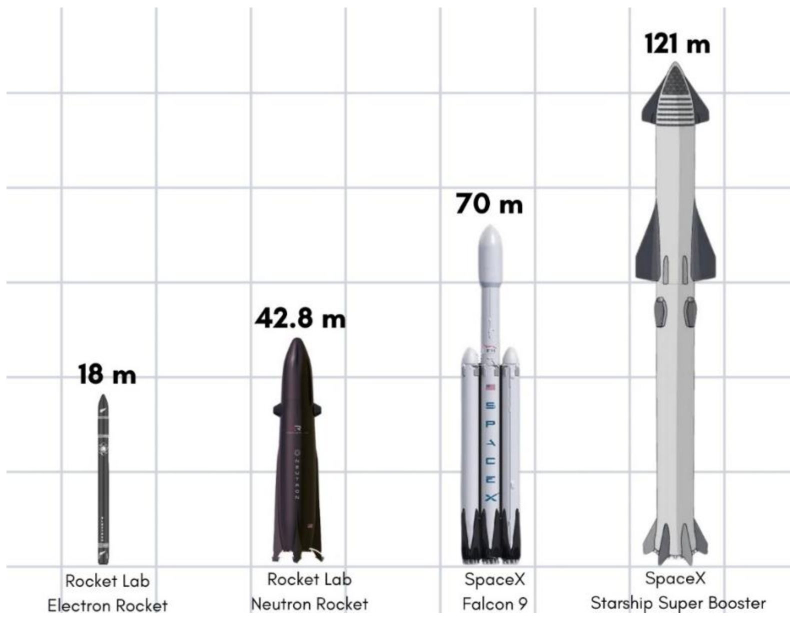
Source: Our World in Data

Launch Services

Rocket Lab's *Electron* is the only proven small satellite launcher that currently exists in the US market. *Electron* had its first flight on May 25, 2017, and since have had 43 total launches with 39 successes and 4 failures. This represents a 90.6% success rate with the most recent failure occurring on September 19, 2023. The failure back in September caused a two-month hiatus on flight while the investigation was occurring but a return to flight mission finally occurred on December 15, 2023. The cause of failure was due to a highly improbable anomaly that has since been fixed. In terms of payload capacity, Rocket Lab can lift up to 300kg in LEO, with a reduced payload mass *Electron* can send satellites further.

For example, one mission involved sending a payload using *Electron* into lunar orbit for NASA. The 300kg lift capacity classifies *Electron* as a small-lift vehicle. For greater context, Figure 4 shows where *Electron* and the planned *Neutron* stands among other rockets.

Figure 4 – Top Players in Satellite Manufacturing



	Rocket Lab Electron	Rocket Lab Neutron	SpaceX Falcon 9	SpaceX Starship
Payload Capacity to LEO (kg)	300	13,000	22,800	150, 000
Total Launches to Date	41	In Development	299	In Development

Source: Company Websites – SpaceX, Rocket Lab

Many small-lift vehicles are still in development, and some have had flight time. Having said this, their successes have been unreliable and thus have not been awarded any significant contracts. Potential competitors to Rocket Lab's *Electron* include Astra's Rocket, Firefly's Alpha, and Relativity's Terran 1 (Figure 5). The mentioned companies have had test flights and have upcoming launches. As seen, Rocket Lab is ahead of existing competitors for at least a few years. That lead is not assured as competitors begin launching regularly. The current market space is not large enough to support all the launchers in development and with SpaceX's rideshare missions a possible alternative to launching small satellites, Rocket Lab will have a difficult time gaining greater market share and keeping margins up.

Figure 5 – Small Satellite Launchers Currently in Development

Astra

Status	Launching, not yet reliable
Total Launches	9 (7 failures)
Payload Capacity to LEO	350kg
Company Revenue	$9.4mm
Location	Alameda, California

Firefly Aerospace - Alpha

Status	Launching, not yet reliable
Total Launches	4 (3 failures)
Payload Capacity to LEO	1,030 kg
Company Revenue	$128.0mm
Location	Cedar Park, Texas

Relativity - Terran 1

Status	Launching, not yet reliable
Total Launches	1 (1 Failure)
Payload Capacity to LEO	1,479 kg
Company Revenue	N/A
Location	Long Beach, California

Source: Company Websites

As seen, the small size of *Electron* only allows small satellites to be launched. In addition, Peter Beck stated that the launch cadence of *Electron* is highly influenced by market demand, therefore an analysis of the small satellite market is required. According to Euroconsult, the average annual launches of small satellites is expected to grow to 2,610 from the last decade average of 698. The launch market value is expected to reach $3.42bn by 2032 from a current launch market size of $0.95bn. Rocket Lab is well-positioned to capitalize on this growth but may have growth slow down as other launchers become online. The growth in market can be explained by greater demand for commercial and military applications. Various satellite constellation projects have been announced like SpaceX's Starlink and Amazon's Project Kuiper. While Rocket Lab's *Electron* rocket is not positioned to support the mission requirements of these missions, the company is developing a new rocket for this specific purpose, called *Neutron*.

Rocket Lab announced that they were developing *Neutron* on March 1, 2021, with a first launch date planned in 2024. It is important to note that the development of launch vehicles and planned timelines are highly tentative and often delayed. *Neutron* might take longer for its first launch and might take even longer before Rocket Lab is launching it frequently. *Neutron* is classified as a medium-lift vehicle as it will be able to deliver payloads of up to 13,000kg into LEO and payloads of up to 1,500 kg to Mars or Venus. Other important features include some level of reusability and a goal to make the rocket human-rated. Human-rating a rocket means that it has received the proper safety rating and can be outfitted with life support systems. The new rocket will also require the development of new rocket engines as *Electron's* Rutherford engines will be insufficient to launch the rocket. The new rocket engine being developed is named Archimedes and is the other main piece of development that Rocket Lab is undertaking. According to Rocket Lab, *Neutron* will primarily serve mega constellations and deep space missions. In a McKinsey report, the number of announced constellations has reached 300 in 2023. If Rocket Lab is able to deliver an affordable rocket, a rocket that can be launched with high cadence and is ready in a timely manner, they will have a huge opportunity to capitalize on the growth of satellite constellations. In addition, with NASA's Artemis program and Russia and China's planned International Lunar Research Station, launches to and from the Moon will be required. *Neutron* will have the capabilities to serve this purpose as well.

Another launch service that Rocket Lab offers is called the Hypersonic Accelerator Suborbital Test Electron (HASTE). Rocket Lab is able to use *Electron* to launch payloads into suborbital trajectories. Some uses for a suborbital trajectory include hypersonic payloads for technology development. Rocket Lab is able to offer custom mission profiles to their customers. The first HASTE mission launched in June 2023 for the defense contractor Leidos. Since then, Leidos has contracted out four more launches. There are also planned missions with the Department of Defense's Defense Innovation Unit. Few suborbital launch test beds are available, and Rocket Lab has positioned itself well to take on the market as seen by contracts with government agencies.

Rocket Lab has had difficulty scaling revenues for the Launch Services segment. The Launch Services segment is directly tied with how many *Electron* launches there have been. The Launch Services segment brought in $71.9mm of revenue in 2023 (as per the company's pre-earnings release) compared to $60.7mm in 2022. Launch gross margin can be used to determine how profitable each launch for *Electron* is and this can be compared with other launchers. As of Q3'23, Rocket Lab's *Electron* has a 27% GAAP launch gross margin. According to Payload Space, Rocket Lab charges $10mm per launch which would mean the company earns $2.7mm in gross profit per launch. This is below Falcon 9's launch margin of around 50%, using external estimates. Falcon 9's launch margin is much higher than *Electron* due to cadence. Falcon 9 launched a remarkable 96 times in 2023.

Notable Completed/Scheduled Missions

Rocket Lab's *Electron* has been launched into orbit a total of 43 times with 39 successes. Some notable customers that Rocket Lab has launched for include NASA, the National Reconnaissance Office, the United States Space Force, BlackSky, and Capella Space. Clearly, Rocket Lab is seen as a dependable launcher for the United States government and could be a regular customer for future launches as well.

Many of Rocket Lab's launches for the US military are confidential and the type of payloads are undisclosed. In terms of commercial payloads, BlackSky was a repeat customer focused on providing real-time land-based imaging. Additional types of payloads that Rocket Lab launches are rideshare missions where Rocket Lab launches multiple payloads at once. Rocket Lab has launched many of NASA's TROPICs satellites as well. These TROPICs are focused on measuring the storm intensity of tropical storms. What is notable for these missions, is that they were originally contracted out to Astra. However, after multiple failures they were reassigned to Rocket Lab. This is another example of Rocket Lab's dominance and dependability among small satellite launch providers.

Some notable launches scheduled in the future include five further launches for BlackSky. Other customers include Capella Space, Hawk Eye 360, and Kinéis. Many of these customers have multiple launches scheduled to help build out their constellation networks. Rocket Lab has also planned interplanetary launches. The Escapade mission to Mars by NASA is expected to be launched in August 2024. There is a private mission to Mars onboard Rocket Lab's *Photon* spacecraft as well. The most recent and arguably most important contract is with the Space Development Agency. Rocket Lab won a $515mm deal to manufacture and launch 18 satellites. The satellites will serve the defense needs of the United States and represents Rocket Lab's first major contract with the US military aside from single off missions.

Industry Trends

Cost-Reduction

An important trend taking place in the satellite launch industry is that the cost per kilogram per launch has been decreasing rapidly in recent years. Rocket flight took off towards the end of World War 2. The victors of the war, the USSR and the US rapidly developed rockets as a transport tool for nuclear warheads and then later for the Space Race. The US and USSR governments did not prioritize cost per launch and instead focused on expanding use cases and ensuring dominance of space over the other adversary. This caused the cost per kilogram, a common measure of cost for launch, to remain relatively expensive up until the end of the Cold War in the early 90s. Without geopolitical pressure from the Cold War, budget cuts for the development of rockets slowed rapidly while at the same time commercial needs for rockets rose. This allowed private corporations, with the help of some government funding, to capitalize on the growing demand. Due to a more competitive environment, innovations to reduce costs were made. Figure 6 displays the dramatic decrease in cost per kilogram per launch. Some innovations taking place in the industry include introducing composite rockets, like *Electron*, 3D printing, and the focus on manufacturability of rockets.

Figure 6 – Cost Per Kilogram for Various Launchers

Launch Vehicle	Country	Year of First Flight	Payload Cost per Kg
Vanguard	United States	1957	$1,000,000
Space Shuttle	United States	1981	$54,500
Electron	United States	2017	$19,039
Ariance 5G	Europe	1999	$9,167
Long March 3B	China	2007	$4,412
Proton	Russia	2001	$4,320
Falcon 9	United States	2010	$2,720
Falcon 9 Heavy	United States	2018	$1,500

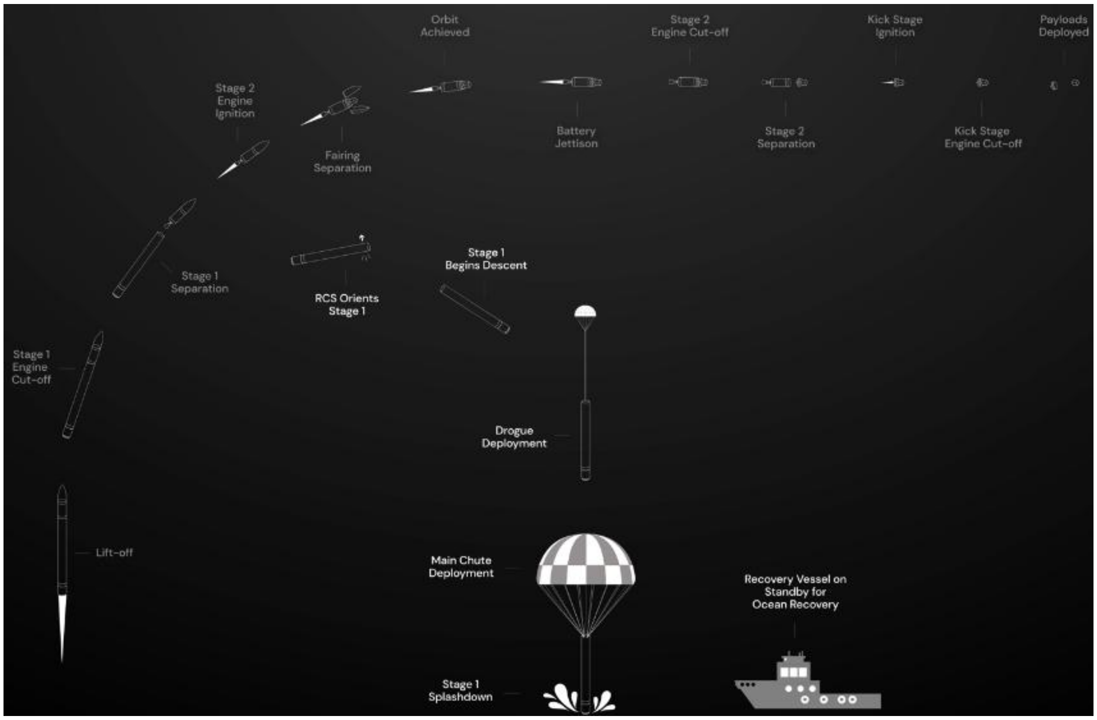
Source: McKinsey

2017 1

Reusability

Reusable rockets are a new development that SpaceX spearheaded. Efforts to make rockets more reusable are directly linked with reducing costs as newly constructed rockets are not required for each launch. There are various levels of reusability that launch providers aim for. SpaceX's Falcon 9 has the most advanced level of reusability because they recover the first stage of the rocket by landing on land or on a barge. SpaceX is also able to recover the fairings by parachuting them into the ocean. Rocket Lab has some level of reusability as well however it is not as advanced as SpaceX. Rocket Lab recovers their first stage by parachuting it into the ocean (Figure 7). While it is a much simpler process, *Electron* lands in the ocean where the salt damages components. Rocket Lab also does not go through the mentioned reusability process for every launch, this suggests that the process is either flawed and needs further work, or that the cost savings are negligible. On an industry level, reusability for rockets is being heavily researched across the globe in some form or another. ULA's Vulcan rocket hopes to recover the rocket engines after each mission and various Chinese rocket companies are testing reusability on the same level as SpaceX's Falcon 9.

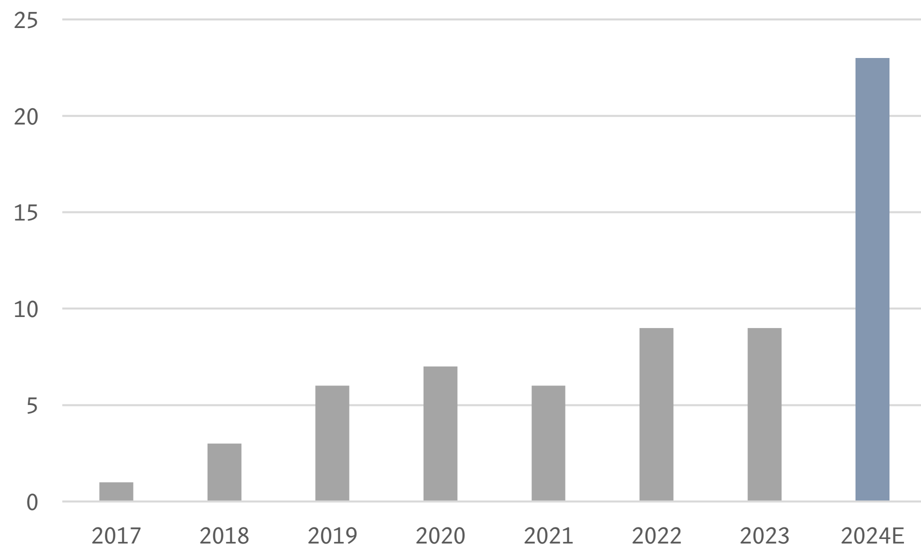
Figure 7 – Electron Reusability Mission Graph



Strategy Overview

Since Rocket Lab's founding in 2006, the company has primarily focused on providing space access for small payloads. This comes at the heels of an increasing need for access to space after the end of the Cold War in 1991. Governments and militaries paid huge sums of money for each launch and thus launches were only reserved for large payloads. At the same time, commercial interest for satellites had been increasing rapidly and affordable solutions for launch were needed. SpaceX, Rocket Lab, and other launch companies took advantage of the need and, alongside government and private funding, developed their rockets. For Rocket Lab, their first and only operational rocket, *Electron,* initially launched in 2018. Rocket Lab has since focused on taking advantage of economies of scale by increasing the cadence of launch. Rocket Lab has had limited success in increasing cadence due to the slow nature of the customers trusting new rockets, failures, and manufacturing issues. However, annual launches have increased from three launches in 2018 to nine launches in 2023 (Figure 8). Rocket Lab is optimistic for 2024 with 22 launches planned.

Figure 8 – Electron Launch Cadence



Source: Company Filings

The business of providing launch services requires significant capital investment and success is not guaranteed. Thus, many companies diversify with other services. For example, SpaceX diversified their revenue sources by offering Starlink. Rocket Lab also focuses on diversifying their offerings by announcing the development of the *Photon* satellite platform, which subsequently created the Space Systems segment. Further acquisitions to build out the segment began with the acquisition of Sinclair Interplanetary and SolAero Holdings. The Space Systems segment has grown to represent the majority of the revenue mix in Q3'23.

Going Forward

With the development of the medium-lift *Neutron* rocket, Rocket Lab is aiming to capitalize on the growth of satellite constellations. Satellite constellations use large systems of satellites to provide some kind of service. Often these satellites are small in weight and volume but are required to be sent up in large batches. This makes the *Neutron* rocket an ideal launcher for these types of missions. Aside from *Neutron* rocket development, Rocket Lab continues to focus on increasing margins in their launch business and on expanding the Space Systems segment.

Key Corporate Developments

Rocket Lab has been able to raise over $1bn to date, with the most recent financing announced on January 31, 2024 which was a $355mm convertible note issue. The note issue was used to cover a previous debt obligation, net working capital needs, and to provide future strategic flexibility. On August 25, 2021, Rocket Lab raised $477mm through a merger with Vector Acquisition. After merging with Vector Acquisition, the company began trading on the NASDAQ under the ticker: RKLB. Rocket Lab pursued a SPAC listing because at that time SPACs were a highly popular instrument to go public. SPACs allow for faster public listings which can be ideal for sponsors and the company with needs for funds.

M&A Activity

Announcement Date	Target	Value ($mm)	Payment	Rationale
October 03 2023	SailGP Technologies	Not Disclosed	Not Disclosed	Acquisition of manufacturing equipment
September 13 2023	Virgin Orbit Complex	16.1	Cash	Acquisitions from Virgin Orbit’s bankruptcy at favourable prices
December 14, 2021	SolAero Holdings	80.0	Cash	Complementary addition to the Space Systems segment
November 15, 2021	Planetary Systems Corp	65.9	Cash (63.7%) & Stock (36.3%)	Complementary addition to the Space Systems segment
October 12, 2021	Advanced Solutions Inc.	40.0	Cash	Complementary addition to the Space Systems segment
August 21, 2021	Rocket Lab	785	Cash & Stock	SPAC Vector Acquisition merged with Rocket Lab to go public

Source: Bloomberg

Capital Structure & Balance Sheet Overview

Equity Overview

Rocket Lab trades on the NASDAQ under the ticker symbol: RKLB. As of February 8, 2024, it closed at $4.30 per share for a total market capitalization of $2.09bn. Rocket Lab only has common shares trading with each share representing one vote and no dividends are offered at this time. Rocket Lab's largest shareholders are venture capital firms as seen in the figure below. What is notable is that insider ownership is low at 0.87% as of November 30, 2023. In fact, Peter Beck – CEO, sold 3.6mm shares of Rocket Lab on September 11, 2023.

Shareholder	Shares Owned	Percent of Total Float
Bessemer Venture Partners	81,450,954	17.52%
VK Services LLC	74,753,954	15.38%
BlackRock Inc.	26,100,419	5.37%

Source: PitchBook

Debt Overview

Rocket Lab has $481mm of debt at the time of writing (not yet reflected in filed financial statements). It had a recent debt raising of $120mm on January 5, 2024, from Trinity Capital. Rocket Lab has a debt-to-invested capital of ~18.7%. Interest coverage ratios are not relevant as Rocket Lab does not have positive EBIT earnings currently. Rocket Lab announced a convertible note offering on January 31, 2024, which caused a near 20% slide in the stock price. The reason behind the price decrease was due to changing expectations of cash runway. It was communicated that the original IPO would ensure a sufficient cash runway to profitability however, the recent convertible note issue shows that is no longer the case. Additionally, should the notes be converted, there could be a potential 12%-14% dilution in outstanding shares. The announced notes have a relatively low interest rate of 4.25% which is below the US 2Y treasury which means that Rocket Lab's new interest expense will be minimal. Rocket Lab did announce alongside the issue that they had entered into a capped call transaction. Rocket Lab will be able exercise their capped calls to help negate the impact of any of the convertible notes being exercised.

Financials

Revenue

Rocket Lab is primed for Launch Services and Space Systems growth in 2024 and beyond as manufacturing capability and demand continue to heighten. Per management guidance, total revenues for 2023 are anticipated to be $244.1mm with the majority (70.5%) coming from Space Systems; Launch Services experienced setbacks and cadence slowdown following an *Electron* failure in September 2023. In the coming year, 2024, management forecasts 22 launches (our prediction is 21 launches) to drive launch services revenue of $172.9mm. Overall, 2024 total revenues are projected to be $428.6mm on Launch Services and Space System growth. *Neutron*'s development and commercial introduction, which we anticipate in H1'25, is going to be an important revenue driver in the long term. Space Systems growth is anticipated to continue to be strong as Rocket Lab's successful contract portfolio deepens and their position in the market continues to be solidified.

Gross Margin

On the gross margin side, significant improvements are projected as Rocket Lab continues to seek profitability. Gross margin for 2023 is anticipated to be 20.8%, with significant growth coming in 2024 to reach 27.0%. Electron cadence in 2024 is anticipated more than double that of 2023, driving margin improvements with the realization of economies of scale and rocket re-usability. Cadence and build rates continue to be important metrics as management looks to grow *Electron*'s gross margin per launch to meet internal targets. Looking to the future, *Neutron* presents a significant opportunity for margin expansion with the introduction of medium-lift capabilities and exposure to additional prospective clientele. Space System gross margin is modelled to increase modestly as the company's purchasing power grows and contractor relationships strengthen.

Adj. EBITDA and Statement of Cashflow

Adj. EBITDA, defined as EBITDA adjusted for stock-based compensation (SBC), is anticipated to turn positive in Q1'25 on increased revenue and gross margin coupled with capex easing, both as a percent of revenue and on a dollar basis. Q2'25 sees another jump in Adj. EBITDA with the first *Neutron* launch and realization of the rocket's attractive margin per launch relative to *Electron*. On the cashflow side, cashflow from operations remains negative through 2024. 2025 marks the first year with positive cashflow from operations, before significant positive expansion from 2026 onwards. In Q1'24, cash flow from investing activities sees the sale of helicopters Rocket Lab was using with its *Electron* reusability plan. Capex remains relatively flat as the company matures out of its capital-intensive development stage. On cashflow from financing, Rocket Lab's recent offering of convertible senior notes (in Q1'24) significantly increases the company's war chest; additional capital raises are not anticipated.

Valuation

UFCF and Discount Rate

When accounting for SBC as a cash expense, unlevered free cash flow (UFCF) is anticipated to turn positive in 2027. Significant UFCF growth begins in 2026 as increases in *Neutron* and *Electron* cadence drives adj. EBITDA margin improvement. A note here that projecting launches four years out is speculative and difficult to predict with certainty. As for the discount rate, using CAPM yields a WACC of 12.0%. Rocket Lab has a high volatility relative to the market (2-year beta of 1.99). The 12.0% discount rate is similar to aerospace peers.

Mid-Year Convention, Stub-Period, and Terminal Value

Within the discounted cashflow model, both mid-year convention and a stub period were used; Rocket Lab is not a seasonal business and cashflow occurs throughout the year. Given that the present value of stage 1 (2024–2028) UFCF is negative, the calculated enterprise value, and final share price, are entirely based on the terminal value and 2028's UFCF. An exit multiple of 17.0x 2028 UFCF was used to value the company beyond the 5-year explicit projection period. Such an exit multiple implies a terminal growth rate of 5.49%, which can be seen to encapsulate the increasingly important aerospace sector's anticipated growth.

Note: All driving assumptions, income statement, statement of financial position, statement of cashflow, and DCF can be shared upon request – please reach out to the Head of Research Coverage. The income statement, statement of financial position, and statement of cashflow are all projected out to 2028 on a quarterly basis.

Key Management & Board of Directors

Peter Beck

Peter Beck is the founder, CEO, and President of Rocket Lab. Peter Beck led the development of the *Electron* and its first launch pad in New Zealand in the first decade of Rocket Lab. Prior to founding Rocket Lab, Peter Beck led the development as a precision engineer at Fisher & Paykel, a major appliance manufacturer. Peter Beck also worked on initiatives to research advanced composite structures in a government lab.

Richard French

Richard French was appointed to the role of Director – Global Government Launch Services in September 2019. He previously worked at NASA JPL as an engineer in various projects like the Curiosity Martian rover. Richard French also helped manage public-private partnerships at NASA with companies like Blue Origin and Astrobotic. Richard French aided Rocket Lab in developing its US launch site in Virginia and in bidding for government missions. The US government through its agencies at NASA or the DoD are significant spenders in satellite launch and spacecraft. Richard French plays a key role in the success of Rocket Lab.

Nina Armagno

Lt. Gen. Nina Armagno was appointed to the Board of Directors on November 1, 2023, representing the company's most recent addition. Nina Armagno served more than 35 years in leadership positions for the US Air Force and Space Force. She brings the company a wealth of experience regarding the operations of the US military and will be helpful for securing the launch procurements and contracts that Rocket Lab is likely to focus on. In fact, it was the US Space Force that awarded Rocket Lab $515mm to build, launch, and operate a total of 18 satellites.

Thesis

Scaling Launch Cadence

Rocket Lab is expected to continue to increase cadence of their *Electron* vehicle. Rocket Lab is aiming to have 22 launches in 2024 which is up from 9 launches in 2023. When comparing launch cadence to SpaceX's Falcon 9 which launched nearly 100 times, it is clear that Rocket Lab has the potential to dramatically ramp up launch cadence. It is difficult to show where launch cadence will plateau since according to Peter Beck it is demand driven. Limitations from manufacturing capability can be overcome with further investment in production equipment. In an interview back in 2018, Peter Beck did state he wanted to be able to launch 50 times a year with *Electron* which seems feasible in the next 5+ years. When one includes the exponential increase in objects launched into space and the arrival of satellite constellations, there should be little worry whether sufficient demand for *Electron* and *Neutron* will exist in the future. An additional advantage to scaling launches is the decreased cost per rocket. Currently each rocket costs about $7.3mm to manufacture and there is no reason why this cost won't go down as the manufacturing becomes more efficient and fixed costs are spread out further. As another tool of comparison, SpaceX's Falcon 9 costs around $30mm to build each rocket but charges $60mm per launch, representing a 50% gross margin. Rocket Lab's gross margin is around 27% per launch which means there is room for margin growth as cadence rises.

Space Systems & Vertical Integration

Rocket Lab did not originally have a segment dedicated to the supply and manufacturing of satellites, however this segment has now eclipsed the launch segment. While the majority of growth was through M&A activity, the segment is expected to deliver consistent and growing revenues for Rocket Lab. Through the consolidation of most major satellite components, Rocket Lab was able to achieve near full vertical integration. This level of vertical integration will allow for greater control of the company's supply chain which will reduce costs and increase dependability.

Increasing Credibility in the Industry

As the sole reliable small satellite launcher in the market, Rocket Lab is often viewed as second only to SpaceX. Due to the high rate of failure in the launch industry, payloads with large strategic or monetary value are launched only on the most reliable rockets. In the past, defense payloads were nearly exclusively launched on ULA's rockets. SpaceX's attempts to secure these same lucrative defense launches took several years to achieve. While Rocket Lab's *Electron* is too small to carry most of these defense payloads, it has gradually gained the trust of government agencies like NASA and the DoD. While mentioned often in this report, the significance of the recent $515mm contract with the SDA cannot be understated. Should Rocket Lab deliver on its contract, it will build a sizable moat for the next several years. Other competing small satellite launchers are still years away from gaining the level of credibility that Rocket Lab has achieved. While commercial payloads may soon be launched on various small satellite launchers, it will take many years for significant contracts to be awarded to other competitors.

Neutron Development

Development of a new rocket is an incredibly risky venture that requires large amounts of capital and is often riddled with delays. These concerns are common for all launchers in the market; however Rocket Lab may be the best positioned to take on this challenge. Rocket Lab already has the experience developing their *Electron* rocket and can deploy the industry's top talent into developing *Neutron*. Rocket Lab's plans for *Neutron* are relatively tame which reduces the risks of cost overruns and delays. Unlike SpaceX's *Starship* which involves a radical redesign of a rocket, *Neutron* class rockets have already been developed within the industry. This does not mean *Neutron* will not push the bounds of what medium-lift rockets can currently achieve. Rocket Lab will incorporate some level of reusability with *Neutron* using the lessons learned from *Electron*. The business case behind *Neutron* is also promising. With exponential growth in objects sent to space and the proliferation of satellite constellations to be launched this decade, *Neutron* will be well positioned to take advantage of this expected demand. While *Neutron* will certainly increase the risk profile of Rocket Lab, it is an expected and needed development for Rocket Lab as it matures as a company.

Experienced Management Team and Well-Positioned Assets.

While Peter Beck, CEO of Rocket Lab, did not have previous experience working in the space industry, he did lead the development of *Electron* and has led the company through its expansion of its Space Systems segment. Peter Beck has proven himself to be an excellent leader and manager of Rocket Lab. Other members on his management team and the board of directors have a wide range of experiences in the various facets for a rocket company to succeed. Certain board members come from the US military and thus have experience with the procurement of contracts. This experience will be invaluable if Rocket Lab wishes to gain those connections to be awarded future contracts. Rocket Lab being second to SpaceX in terms of launch and legitimacy in the industry, has attracted some of America's brightest minds to work for the company. This will ensure Rocket Lab's ability to continue to innovate and grow for the foreseeable future.

While Rocket Lab was originally based in New Zealand, its move to Long Beach California proved to be the right decision. Through being headquartered out of the United States, Rocket Lab will have the ability to compete for launch contracts in the United States, which is currently the center of world in terms of innovation for space technologies. Rocket Lab also has access to two launch sites, one in Virginia and the other in New Zealand, which ensures that issues on capacity are not a near-term issue and likely will never be.

Areas of Concern

While Rocket Lab has ensured a lead on other small satellite launchers, that lead is not guaranteed. Once other launchers prove their reliability, it is difficult to forecast if demand will be able to sustain all current small satellite launchers. This could result in squeezed margins and fewer launches for Rocket Lab. However, looking at Rocket Lab's 22 planned launches for 2024, these concerns have yet to be fully materialized. Another area of concern is that SpaceX's Falcon 9 is competing in the small satellite launch market using its rideshare service. These rideshare missions pick up a significant amount of demand and are cheaper, but they lack the customizability that Rocket Lab offers in their bespoke missions. Rideshare missions have been occurring for some time and Rocket Lab has been able to sustain themselves for the time being, and that is unlikely to change in the future.

Every launch failure diminishes Rocket Lab's trust with customers and its credibility in the industry. While failures do occur, *Electron* has had recent failures, specifically the September 2023 anomaly which caused a three-month pause in launches. Rocket Lab eventually returned to launching in December 2023, but this hiatus lowered revenue and made customers more apprehensive to procure future launches. To compare, SpaceX last reported a failure in 2015 and ULA has not had as single failure since its founding in 2006.

Appendix 1 – RKLB Projected Income Statement

Income Statement for Rocket Lab USA, Inc.																
Fiscal Period	FY2021A	FY2022A	FY2023P	Q1'24P	Q2'24P	Q3'24P	Q4'24P	FY2024P	Q1'25P	Q2'25P	Q3'25P	Q4'25P	FY2025P	FY2026P	FY2027P	FY2028P
Period End Date	*12/31/21*	*12/31/22*	*12/31/23*	*03/31/24*	*06/30/24*	*09/30/24*	*12/31/24*	*12/31/24*	*03/31/25*	*06/30/25*	*09/30/25*	*12/31/25*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*
Source	*Q4'21 Filing*	*Q4'22 Filing*	*Unofficial*	*Guidance*	*Estimate*	*Estimate*	*Estimate*	*Projection*	*Estimate*	*Estimate*	*Estimate*	*Estimate*	*Projection*	*Projection*	*Projection*	*Projection*
Revenues																
Launch Services	38,971	60,686	71,932	32,929	49,393	24,697	65,858	172,877	70,000	110,000	50,000	80,000	310,000	402,000	588,000	888,000
Space Systems (satellite manufacturing etc.)	23,266	150,310	172,149	67,293	60,564	62,986	64,876	255,719	70,066	75,671	80,211	85,024	310,972	394,264	497,750	628,398
Total Revenues	62,237	210,996	244,081	100,222	109,957	87,683	130,734	428,595	140,066	185,671	130,211	165,024	620,972	796,264	1,085,750	1,516,398
Cost of Revenues																
Launch Services	(53,827)	(67,640)	(59,824)	(23,050)	(34,575)	(17,288)	(46,100)	(121,014)	(49,000)	(62,000)	(35,000)	(56,000)	(202,000)	(221,400)	(291,600)	(411,600)
Space Systems	(10,303)	(124,366)	(133,555)	(51,143)	(46,028)	(46,610)	(48,008)	(191,789)	(50,447)	(54,483)	(56,148)	(59,517)	(220,595)	(268,100)	(323,248)	(395,525)
Total Cost of Revenues	(64,130)	(192,006)	(193,379)	(74,193)	(80,604)	(63,897)	(94,109)	(312,803)	(99,447)	(116,483)	(91,148)	(115,517)	(422,595)	(489,500)	(614,848)	(807,125)
Gross profit (loss)	**(1,893)**	**18,990**	**50,702**	**26,029**	**29,353**	**23,785**	**36,625**	**115,793**	**40,618**	**69,188**	**39,063**	**49,507**	**198,377**	**306,765**	**470,902**	**709,273**
Operating expenses:																
Research and development, net	(41,765)	(65,168)	(113,685)	(30,067)	(32,987)	(21,921)	(32,683)	(117,658)	(30,814)	(40,848)	(28,647)	(33,005)	(133,313)	(135,365)	(152,005)	(197,132)
Selling, general and administrative	(58,395)	(89,026)	(115,315)	(26,058)	(28,589)	(22,798)	(33,991)	(111,435)	(33,616)	(40,848)	(23,438)	(29,704)	(127,606)	(132,342)	(141,147)	(212,296)
Total operating expenses	(100,160)	(154,194)	(229,000)	(56,124)	(61,576)	(44,718)	(66,674)	(229,093)	(64,430)	(81,695)	(52,085)	(62,709)	(260,919)	(267,707)	(293,152)	(409,427)
Operating Profit (Loss)	**(102,053)**	**(135,204)**	**(178,298)**	**(30,095)**	**(32,223)**	**(20,933)**	**(30,049)**	**(113,300)**	**(23,812)**	**(12,507)**	**(13,021)**	**(13,202)**	**(62,542)**	**39,058**	**177,750**	**299,846**
Other income (expense):																
Interest income (expense), net	(6,128)	(7,799)	(4,243)	(7,960)	(1,515)	(7,849)	(1,432)	(18,757)	(7,766)	(1,350)	(7,683)	(1,267)	(18,065)	(17,402)	(16,739)	(16,076)
Gain (loss) on foreign exchange	(567)	(4,435)	(701)	(625)	(625)	(625)	(625)	(2,501)	(625)	(625)	(625)	(625)	(2,501)	(2,501)	(2,501)	(2,501)
Change in fair value of liability classified warrants	(15,294)	13,482	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other income (expense), net	(798)	1,010	3,546	27	27	27	27	106	27	27	27	27	106	106	106	106
Total other income (expense), net	**(22,787)**	**2,258**	**(1,399)**	**(8,559)**	**(2,114)**	**(8,448)**	**(2,031)**	**(21,152)**	**(8,365)**	**(1,948)**	**(8,282)**	**(1,865)**	**(20,460)**	**(19,797)**	**(19,134)**	**(18,471)**
Loss before income taxes (EBT)	(124,840)	(132,946)	(179,697)	(38,654)	(34,337)	(29,380)	(32,080)	(134,452)	(32,177)	(14,456)	(21,303)	(15,067)	(83,003)	19,260	158,615	281,374
Benefit (provision) for income taxes	7,520	(2,998)	(3,393)	(580)	(515)	(441)	(481)	(2,017)	(483)	(217)	(320)	(226)	(1,245)	289	2,379	4,221
Net income (loss)	**(117,320)**	**(135,944)**	**(183,090)**	**(39,234)**	**(34,852)**	**(29,821)**	**(32,561)**	**(136,468)**	**(32,659)**	**(14,673)**	**(21,623)**	**(15,293)**	**(84,248)**	**19,549**	**160,995**	**285,595**
Other comprehensive income (loss), net of tax:																
Foreign currency translation income	253	600	(3,083)	107	107	107	107	427	107	107	107	107	427	427	427	427
Unrealized loss on available-for-sale marketable securities	0	(772)	(426)	(97)	(97)	(97)	(97)	(386)	(97)	(97)	(97)	(97)	(386)	(386)	(386)	(386)
Comprehensive income (loss)	**(117,067)**	**(136,116)**	**(186,599)**	**(39,224)**	**(34,842)**	**(29,811)**	**(32,551)**	**(136,428)**	**(32,649)**	**(14,662)**	**(21,612)**	**(15,283)**	**(84,207)**	**19,590**	**161,035**	**285,635**
Adj. EBITDA		**(40,113)**	**(93,339)**	**(6,043)**	**(6,079)**	**(1,631)**	**(7,680)**	**(21,433)**	**6,622**	**25,974**	**12,276**	**11,824**	**56,695**	**167,788**	**323,117**	**481,190**
EBIT		**(125,147)**	**(175,454)**	**(30,694)**	**(32,821)**	**(21,532)**	**(30,648)**	**(115,695)**	**(24,411)**	**(13,106)**	**(13,620)**	**(13,801)**	**(64,937)**	**36,663**	**175,355**	**297,451**
Net loss per share attributable to Rocket Lab USA, Inc.:																
Basic and diluted	**(0.56)**	**(0.29)**	**(0.38)**	**(0.08)**	**(0.07)**	**(0.06)**	**(0.07)**	**(0.28)**	**(0.07)**	**(0.03)**	**(0.04)**	**(0.03)**	**(0.17)**	**0.04**	**0.31**	**0.53**
Weighted-average common shares outstanding:																
Basic and diluted	209,895,135	466,214,095	**485,167,404**	**487,046,437**	**489,104,877**	**490,524,348**	**492,050,240**	**492,050,240**	**494,347,544**	**497,249,225**	**499,038,432**	**500,576,244**	**500,576,244**	**509,520,544**	**519,810,385**	**534,187,242**

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Appendix 2 – RKLB Projected Statement of Financial Position

Statement of Financial Position for Rocket Lab USA, Inc.																				
Fiscal Period	FY2021A	FY2022A	Q1'23A	Q2'23A	Q3'23A	Q4'23P	FY2023P	Q1'24P	Q2'24P	Q3'24P	Q4'24P	FY2024P	Q1'25P	Q2'25P	Q3'25P	Q4'25P	FY2025P	FY2026P	FY2027P	FY2028P
Period End Date	*12/31/21*	*12/31/22*	*03/31/23*	*06/30/23*	*09/30/23*	*12/31/23*	*12/31/23*	*03/31/24*	*06/30/24*	*09/30/24*	*12/31/24*	*12/31/24*	*03/31/25*	*06/30/25*	*09/30/25*	*12/31/25*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*
Source	*Q1'22 Filing*	*Q3'23 Filing*	*Q1'23 Filing*	*Q2'23 Filing*	*Q3'23 Filing*	*Estimate*	*Projection*	*Estimate*	*Estimate*	*Estimate*	*Estimate*	*Projection*	*Estimate*	*Estimate*	*Estimate*	*Estimate*	*Projection*	*Projection*	*Projection*	*Projection*
Assets																				
Current assets:																				
Cash, cash equivalents, & marketable securities (LT+ST)	690,959	480,984	446,642	415,119	370,368	337,870	337,870	623,895	604,248	597,892	543,452	543,452	514,487	508,030	520,071	490,400	490,400	559,503	789,319	1,248,985
Accounts receivable, net	13,957	36,572	50,690	25,175	22,787	26,073	26,073	38,441	42,175	33,632	50,144	50,144	53,724	71,216	49,944	63,297	63,297	87,966	117,951	148,790
Contract assets	2,490	9,451	12,558	16,714	13,042	11,465	11,465	19,318	8,703	7,614	9,053	9,053	9,699	4,202	3,906	3,472	3,472	1,595	805	502
Inventories	47,904	92,279	98,453	102,234	102,394	88,165	88,165	105,699	114,833	91,032	134,072	134,072	147,128	172,331	134,849	170,902	170,902	204,744	238,103	315,200
Prepaids and other current assets	19,454	52,201	63,203	63,520	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341	68,341
Assets held for sale	0	0	11,630	11,384	11,259	11,134	11,134	0	0	0	0	0	0	0	0	0	0	0	0	0
Total current assets	774,764	671,487	683,176	634,146	588,191	543,048	543,048	855,695	838,300	798,511	805,062	805,062	793,378	824,120	777,111	796,411	796,411	922,150	1,214,519	1,781,818
Non-current assets:																				
Property, plant and equipment, net	65,339	101,514	95,981	120,004	135,988	149,371	149,371	158,491	168,497	176,476	188,373	188,373	195,769	205,572	212,447	221,160	221,160	243,456	261,696	276,254
Intangible assets, net	57,487	79,692	76,495	73,309	70,404	67,154	67,154	64,325	61,497	58,668	55,839	55,839	53,494	51,150	48,805	46,460	46,460	37,239	28,990	20,741
Goodwill	43,308	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020	71,020
Right-of-use assets - operating leases	28,424	35,239	34,839	47,586	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900	44,900
Right-of-use assets - finance leases	0	15,614	15,458	15,302	15,145	14,988	14,988	14,831	14,674	14,517	14,360	14,360	14,203	14,046	13,889	13,732	13,732	13,104	12,476	12,476
Restricted cash	1,116	3,356	3,337	3,594	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588	3,588
Deferred income tax assets, net	5,859	3,898	3,500	3,641	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282	3,282
Other non-current assets	4,550	7,303	7,102	12,894	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975	17,975
Total non-current assets	206,083	317,636	307,732	347,350	362,302	372,278	372,278	378,412	385,433	390,426	399,337	399,337	404,231	411,532	415,906	422,117	422,117	434,564	443,927	450,236
Total assets	**980,847**	**989,123**	**990,908**	**981,496**	**950,493**	**915,326**	**915,326**	**1,234,107**	**1,223,733**	**1,188,937**	**1,204,400**	**1,204,400**	**1,197,609**	**1,235,652**	**1,193,017**	**1,218,529**	**1,218,529**	**1,356,713**	**1,658,447**	**2,232,054**
Liabilities and Stockholders' Equity																				
Current liabilities:																				
Trade payables	3,489	12,084	22,852	25,867	24,980	22,041	22,041	36,588	39,750	31,511	46,410	46,410	49,043	57,444	44,950	56,967	56,967	68,248	82,420	143,273
Accrued expenses	10,977	8,723	8,678	6,492	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998	5,998
Employee benefits payable	8,266	8,634	12,333	14,138	14,979	17,033	17,033	14,350	15,744	12,555	18,719	18,719	18,512	22,495	12,907	16,358	16,358	18,945	22,015	41,871
Contract liabilities	59,749	108,344	125,635	134,574	133,793	137,807	137,807	141,941	146,199	150,585	155,103	155,103	159,756	164,549	169,485	174,570	174,570	196,480	221,139	248,894
Current installments of long-term borrowings	2,827	2,906	2,934	104,381	105,116	0	0	5,500	3,225	3,225	3,225	3,225	3,225	3,225	3,225	3,225	3,225	3,225	3,225	3,225
Other current liabilities	10,999	22,249	24,863	20,489	18,885	16,601	16,601	27,973	30,690	24,473	36,489	36,489	39,094	51,823	36,344	46,060	46,060	64,012	85,831	151,582
Total current liabilities	96,307	162,940	197,295	305,941	303,751	199,480	199,480	232,350	241,606	228,347	265,943	265,943	275,628	305,533	272,909	303,178	303,178	356,907	420,629	594,842
Non-current liabilities:																				
Senior Convertible Notes								355,000	355,000	355,000	355,000	355,000	355,000	355,000	355,000	355,000	355,000	355,000	355,000	355,000
Long-term borrowings, excluding current installments	97,297	100,043	100,724	0	0	110,000	110,000	64,500	61,275	58,050	54,825	54,825	51,600	48,375	45,150	41,925	41,925	29,025	16,125	3,225
Non-current operating lease liabilities	28,302	34,266	33,870	43,169	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695	41,695
Non-current finance lease liabilities	0	15,568	15,478	15,385	15,299	15,209	15,209	15,119	15,029	14,939	14,849	14,849	14,759	14,669	14,579	14,489	14,489	14,129	13,769	13,409
Deferred tax liabilities	466	95	170	237	308	308	308	308	308	308	308	308	308	308	308	308	308	308	308	308
Public and Private warrant liabilities	58,227	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other non-current liabilities	1,800	3,005	3,353	5,716	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638	3,638
Total non-current liabilities	186,092	152,977	153,595	64,507	60,940	170,850	170,850	480,260	476,945	473,630	470,315	470,315	467,000	463,685	460,370	457,055	457,055	443,795	430,535	417,275
Total liabilities	**282,399**	**315,917**	**350,890**	**370,448**	**364,691**	**370,330**	**370,330**	**712,610**	**718,551**	**701,977**	**736,258**	**736,258**	**742,628**	**769,218**	**733,279**	**760,233**	**760,233**	**800,702**	**851,164**	**1,012,117**
COMMITMENTS AND CONTINGENCIES (Note 16)																				
Stockholders' equity:																				
Redeemable convertible preferred stock (Series A->E-1)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Common stock, $0.0001 par value; authorized shares: 2,500,000,000	45	48	48	48	49	49	49	49	49	49	49	49	49	49	49	49	49	49	49	49
Additional paid-in capital	1,002,106	1,112,977	1,125,976	1,145,225	1,161,165	1,171,365	1,171,365	1,188,276	1,206,802	1,219,577	1,233,311	1,233,311	1,253,986	1,280,101	1,296,204	1,310,045	1,310,045	1,390,543	1,483,152	1,612,544
Accumulated deficit	(305,011)	(440,955)	(486,572)	(532,461)	(573,029)	(624,045)	(624,045)	(664,465)	(699,317)	(730,325)	(762,886)	(762,886)	(796,732)	(811,404)	(834,213)	(849,506)	(849,506)	(832,330)	(673,708)	(390,485)
Accumulated other comprehensive (loss) income	1,308	1,136	566	(1,764)	(2,383)	(2,373)	(2,373)	(2,363)	(2,353)	(2,343)	(2,332)	(2,332)	(2,322)	(2,312)	(2,302)	(2,292)	(2,292)	(2,251)	(2,211)	(2,170)
Total stockholders' equity	698,448	673,206	640,018	611,048	585,802	544,996	544,996	521,497	505,182	486,959	468,141	468,141	454,982	466,434	459,738	458,295	458,295	556,011	807,282	1,219,937
Total liabilities and stockholders' equity	**980,847**	**989,123**	**990,908**	**981,496**	**950,493**	**915,326**	**915,326**	**1,234,107**	**1,223,733**	**1,188,937**	**1,204,400**	**1,204,400**	**1,197,609**	**1,235,652**	**1,193,017**	**1,218,529**	**1,218,529**	**1,356,713**	**1,658,447**	**2,232,054**

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Appendix 3 – RKLB Projected Statement of Cashflows

Statement of Cashflows for Rocket Lab USA, Inc.																
Fiscal Period	FY2021A	FY2022A	FY2023P	Q1'24P	Q2'24P	Q3'24P	Q4'24P	FY2024P	Q1'25P	Q2'25P	Q3'25P	Q4'25P	FY2025P	FY2026P	FY2027P	FY2028P
Period End Date	*12/31/21*	*12/31/22*	*12/31/23*	*03/31/24*	*06/30/24*	*09/30/24*	*12/31/24*	*12/31/24*	*03/31/25*	*06/30/25*	*09/30/25*	*12/31/25*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*
Comprehensive Gain (Loss)				(40,410)	(34,842)	(30,997)	(32,551)	(138,800)	(33,835)	(14,662)	(22,799)	(15,283)	(86,580)	17,217	158,663	283,263
Depreciation				4,911	5,388	4,296	6,406	21,001	8,012	10,620	7,448	9,439	35,520	41,406	46,904	46,098
Amortization				2,829	2,829	2,829	2,829	11,315	2,345	2,345	2,345	2,345	9,379	9,221	8,249	8,249
Stock Based Compensation				16,911	18,526	12,775	13,733	61,946	20,676	26,115	16,103	13,840	76,734	80,499	92,609	129,392
Decreases (Increases) in Working Capital Assets				(29,903)	(12,867)	32,344	(59,553)	(69,979)	(16,635)	(42,696)	58,754	(49,405)	(49,982)	(58,512)	(63,344)	(107,937)
Increases (Decreases) in Working Capital Liabilities				14,547	3,162	(8,239)	14,899	24,368	2,633	8,401	(12,494)	12,018	10,558	11,281	14,172	60,853
Other current assets				(7,696)	10,772	1,246	(1,282)	3,040	(489)	5,654	453	591	6,209	2,505	1,418	303
Other current liabilities				12,823	8,369	(5,020)	22,698	38,870	7,051	21,504	(20,130)	18,252	26,677	42,448	49,550	113,361
Cash Flow from Operating Activities				**(25,988)**	**1,337**	**9,234**	**(32,822)**	**(48,239)**	**(10,243)**	**17,281**	**29,680**	**(8,203)**	**28,515**	**146,064**	**308,221**	**533,582**
Capex				(14,031)	(15,394)	(12,276)	(18,303)	(60,003)	(15,407)	(20,424)	(14,323)	(18,153)	(68,307)	(63,701)	(65,145)	(60,656)
Asset Sales (Losses)				11,134	0	0	0	11,134	0	0	0	0	0	0	0	0
Cash Flow from Investing Activities				**(2,897)**	**(15,394)**	**(12,276)**	**(18,303)**	**(48,869)**	**(15,407)**	**(20,424)**	**(14,323)**	**(18,153)**	**(68,307)**	**(63,701)**	**(65,145)**	**(60,656)**
Change in Short-Term Debt				5,500	(2,275)	0	0	3,225	0	0	0	0	0	0	0	0
Change in Long-Term Debt				309,500	(3,225)	(3,225)	(3,225)	299,825	(3,225)	(3,225)	(3,225)	(3,225)	(12,900)	(12,900)	(12,900)	(12,900)
Change in Finance Leases				(90)	(90)	(90)	(90)	(360)	(90)	(90)	(90)	(90)	(360)	(360)	(360)	(360)
Cash Flow from Financing Activities				**314,910**	**(5,590)**	**(3,315)**	**(3,315)**	**302,690**	**(3,315)**	**(3,315)**	**(3,315)**	**(3,315)**	**(13,260)**	**(13,260)**	**(13,260)**	**(13,260)**
BOP Cash				**337,870**	**623,895**	**604,248**	**597,892**	**337,870**	**543,452**	**514,487**	**508,030**	**520,071**	**543,452**	**490,400**	**559,503**	**789,319**
Net Change in cash during period				286,025	(19,647)	(6,356)	(54,440)	205,582	(28,965)	(6,457)	12,041	(29,671)	(53,052)	69,103	229,816	459,666
EOP Cash				**623,895**	**604,248**	**597,892**	**543,452**	**543,452**	**514,487**	**508,030**	**520,071**	**490,400**	**490,400**	**559,503**	**789,319**	**1,248,985**

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Appendix 4a – RKLB Discounted Cash Flow Valuation Model

DCF Valuation Model Note: All values except for per share data is in '000s USD

Discount Rate	*12%*	**FY2022A**	**FY2023P**	**FY2024P**	**FY2025P**	**FY2026P**	**FY2027P**	**FY2028P**
Date for Discounting Cash Flows		6/30/2022	6/30/2023	6/30/2024	6/30/2025	6/30/2026	6/30/2027	6/30/2028
Revenue		210,996	244,081	428,595	620,972	796,264	1,085,750	1,516,398
% growth			*16%*	*76%*	*45%*	*28%*	*36%*	*40%*
Adj. EBITDA		(40,113)	(93,339)	(21,433)	56,695	167,788	323,117	481,190
% margin		*-19%*	*-38%*	*-5%*	*9%*	*21%*	*30%*	*32%*
EBIT		(125,147)	(175,454)	(115,695)	(64,937)	36,663	175,355	297,451
% margin		*-59%*	*-72%*	*-27%*	*-10%*	*5%*	*16%*	*20%*
Tax on EBIT		1,877	2,632	1,735	974	(550)	(2,630)	(4,462)
NOPAT		(123,270)	(172,822)	(113,959)	(63,963)	36,113	172,724	292,989
(+) Depreciation		16,158	15,458	21,001	35,520	41,406	46,904	46,098
(+) Amortization		13,227	13,059	11,315	9,379	9,221	8,249	8,249
(-) Increases in NWC		58,395	(24,570)	45,610	39,424	47,231	49,171	47,084
(-) Capex		52,333	63,315	60,003	68,307	63,701	65,145	60,656
Unlevered Free Cash Flow		(204,613)	(183,050)	(187,257)	(126,796)	(24,193)	113,561	239,596
Stub-Adjusted UFCF				(168,011)	(126,796)	(24,193)	113,561	239,596
Discount Factor				*0.96*	*0.85*	*0.76*	*0.68*	*0.61*
PV of FCF as of Feb 08, 2024				(160,676)	(108,203)	(18,422)	77,162	145,222

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Appendix 4b – RKLB Discounted Cash Flow Valuation Model Terminal Value

Perpetuity Terminal Value	
Implied Growth Rate	5.49%
2029 FCF	252,743
TV in 2028	4,073,138
PV of Terminal Value	2,468,780
PV of Stage 1 UFCF	(64,917)
Total Enterprise Value	2,403,862
Net Debt	(170,966)
Equity Value	2,574,829
Shares Outstanding	**485,886,990**
Equity Value per Share	**$ 5.30**

EBITDA Multiple Terminal Value	
2028 EBITDA	481,190
Implied EBITDA Multiple	8.46x
TV in 2028	4,073,138
PV of Terminal Value	2,468,780
PV of Stage 1 UFCF	(64,917)
Total Enterprise Value	2,403,862
Net Debt	(170,966)
Equity Value	2,574,829
Shares Outstanding	**485,886,990**
Equity Value per Share	**$ 5.30**
Final TV in 2028	4,073,138
Final Share Price:	**$ 5.30**
Implied Upside	**23.2%**

FCF Multiple Terminal Value	
2028 UFCF	239,596
Implied UFCF Multiple	17.00x
TV in 2028	4,073,138
PV of Terminal Value	2,468,780
PV of Stage 1 UFCF	(64,917)
Total Enterprise Value	2,403,862
Net Debt	(170,966)
Equity Value	2,574,829
Shares Outstanding	485,886,990
Equity Value per Share	**$ 5.30**

Appendix 5 – RKLB Trading Comparables

Ticker	Company	Country of Incorporation	Close Price	52W High	52W Low	1M Return (%)	3M Return (%)	1Y Return (%)	Consensus PT	Implied Return	Market Cap (M USD)	Net Debt (M USD)	Enterprise Value (M USD)	Consensus EV/REV	Consensus EV/EBITDA	Consensus FWD EV/REV	Consensus FWD EV/EBITDA
NYSE:BA	The Boeing Company	United States	$ 209.22	$267.54	$176.25	-6%	6%	-1%	$ 258.04	23.3%	127,652	38,178	165,835	2.13x	45.93x	1.84x	25.28x
ENXTPA:AIR	Airbus SE	Netherlands	$ 162.91	$164.50	$121.10	3%	19%	33%	$ 174.77	7.3%	128,562	(3,448)	125,095	1.84x	15.66x	1.65x	12.20x
NYSE:RTX	RTX Corporation	United States	$ 91.04	$104.91	$ 68.56	7%	11%	-7%	$ 96.62	6.1%	120,585	39,000	161,232	2.34x	16.00x	2.05x	11.76x
NYSE:LMT	Lockheed Martin Corporation	United States	$ 427.00	$508.10	$393.77	-6%	-4%	-9%	$ 482.96	13.1%	103,182	17,194	120,376	1.78x	11.42x	1.74x	12.31x
NYSE:GD	General Dynamics Corporation	United States	$ 269.00	$270.15	$202.35	8%	10%	18%	$ 290.19	7.9%	73,467	7,348	80,815	1.91x	15.82x	1.74x	13.49x
NYSE:NOC	Northrop Grumman Corporation	United States	$ 451.22	$496.89	$414.56	-3%	-3%	-1%	$ 486.05	7.7%	67,699	12,600	80,299	2.04x	18.01x	1.95x	14.08x
NYSE:HXL	Hexcel Corporation	United States	$ 71.50	$ 79.08	$ 58.81	-1%	10%	3%	$ 75.44	5.5%	6,034	502	6,536	3.65x	17.94x	3.28x	16.01x
NYSE:MOG.A	Moog Inc.	United States	$ 143.26	$147.91	$ 87.84	2%	9%	44%	$ 156.00	8.9%	4,570	944	5,515	1.61x	12.21x	1.55x	11.01x
NasdaqCM:RKLB	Rocket Lab USA, Inc.	United States	$ 4.30	$ 8.05	$ 3.62	-17%	-2%	-5%	$ 8.33	93.8%	2,089	(208)	1,881	7.96x	NM	5.04x	NM
TSX:MDA	MDA Ltd.	Canada	$ 8.87	$ 9.40	$ 4.61	9%	3%	79%	$ 10.90	22.8%	1,061	220	1,282	2.19x	12.76x	1.85x	9.48x
NYSE:RDW	Redwire Corporation	United States	$ 3.03	$ 4.58	$ 2.35	4%	24%	20%	$ 5.80	91.4%	196	89	371	1.59x	117.48x	1.43x	24.04x
NYSE:LLAP	Terran Orbital Corporation	United States	$ 0.86	$ 3.45	$ 0.62	-6%	15%	-53%	$ 4.99	482.5%	167	157	324	2.37x	NM	1.11x	NM
NasdaqCM:ASTR	Astra Space, Inc.	United States	$ 1.94	$ 10.03	$ 0.62	13%	44%	-78%	$ -	0.0%	44	(2)	42	43.62x	NM	NM	NM

Source: S&P Capital IQ, Company Filings, Western Algo Estimates

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Western Algorithmic Trading Club, 2023

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